technology allows these electromagnetic sounds and other waves to be harnessed, these resources have emerged as valuable contributors to the revenue of the state. There are also valuable resources in the seas and oceans where governments have rights, as well as in space. These resources can also contribute to the revenue of governments.

There are various modes in which governments can collect revenues on these resources. These resources can be simply auctioned off to the highest bidder for one-time or staggered payments. They can be auctioned with the government share linked to revenues generated from the use of the resources. They can also be placed under PSUs with the profit generated accruing to the government. There can be other structures as well. In essence, the government gets a share of the value added generated from the natural resource used.

There is no organized system of inventory of natural and other common resources of the government and designing the most appropriate manner of making the most productive use of these resources for society and the economy and generating optimum revenues in the process. The system gets more complicated and confused when governments decide to reserve such mineral, metal and other natural resource rights for public-sector enterprises.

The system of managing sovereign natural resources needs to be streamlined along the following lines:

First, create a Ministry of Natural Resources to inventorize all natural resources, make a policy for their exploration and exploitation, and for selling or granting rights and concessions. This ministry may not control actual management of natural resources, which may remain with existing or reorganized ministries and departments dealing with minerals, coal, petroleum products, spectrum, etc.

Second, a separate ledger head should be created in the financial and budgetary accounting system to capture revenues from natural resources